

Lecture 6: Institutions and Institutionalisms (AUW)

Political Science — Master Notes · by Jakob V. Stangel

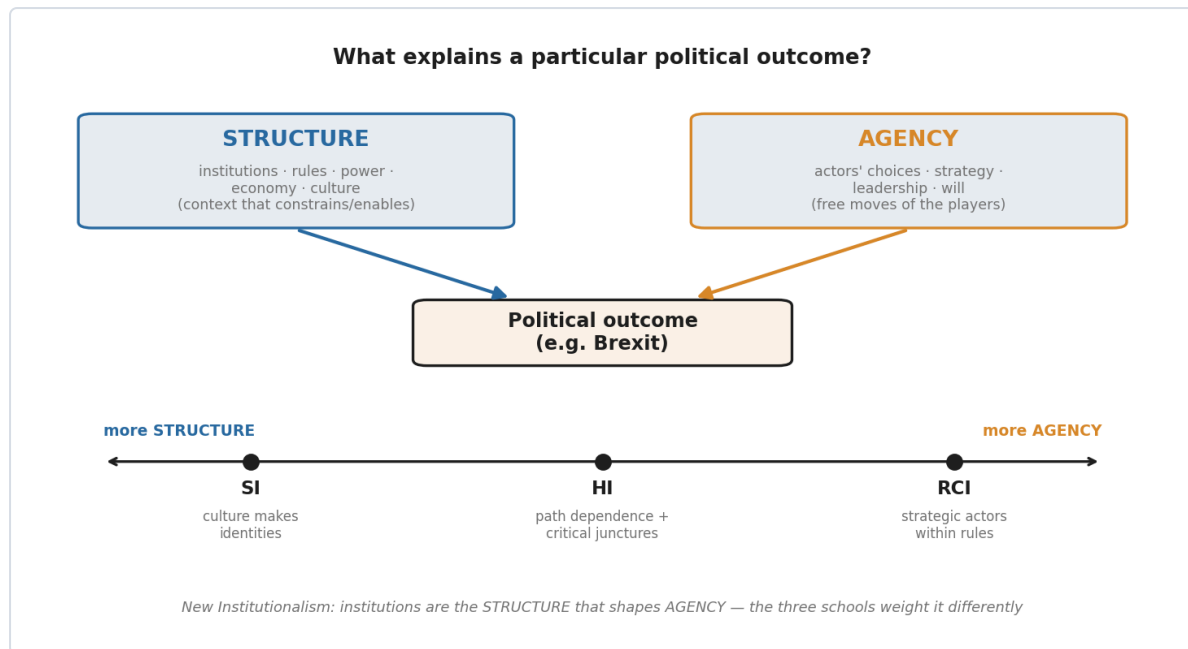
Required reading: Hall & Taylor (1996), *Political Science and the Three New Institutionalisms* · Busemeyer & Thelen (2020), *Institutional Sources of Business Power* (an HI example)

Theme of the lecture: the role of **institutions and structures** in political processes — how institutions **shape the behaviour of political actors**, and what drives institutional **change vs continuity** — focusing on the **rational-choice (RCI)**, **historical (HI)**, and **sociological (SI)** variants of **New Institutionalism** (with path dependence and **institutional legacies** as central concepts).

Lecture frame (AUW) — the essentials before the three schools

Core: institutions ≠ organizations. Institutions are the **rules/norms that enable or constrain actors**; organizations are **groups of actors**. (*Ayca's example: the **Social Democratic Party** is an organization; the constitutional & legal rules, its internal statutes, and the unwritten norms governing it — e.g. can an MP defy the leadership and keep their job? — are institutions.*)

- **The grand debate it enters: structure vs agency** — *what explains a particular political outcome?* (the deck's opening question). Two pure answers:
 - **Structure** = the **context that shapes action** — institutions, rules, laws, social & economic structures, distributions of power, culture. On this view an outcome is driven by the **situation actors are in** (the "board and rules of the game"); actors are almost **carried along** by their environment.
 - **Agency** = the **capacity of actors to choose and act** independently — strategy, leadership, will. On this view an outcome is driven by **what particular people decided to do** (the "players' free moves").
 - *Why it matters:* explain **Brexit** (or any outcome) and you're implicitly taking a side — was it the deep **structures** (Britain's institutional history, its economy, EU rules) or the **agency** of key actors (Cameron calling the referendum, Johnson/Farage campaigning)? Pure structure = actors are dupes of context; pure agency = "great men" make history.
 - **New Institutionalism's answer** (the "revised" theory: behavioralism → institutionalist critique → New Institutionalism) is a **middle position: institutions are the key structure that shapes agency** — they **enable and constrain** actors without fully determining them. And the three schools sit at **different points** on the structure⇌agency line: **SI** most *structural* (culture constitutes actors' identities & preferences → least free agency), **RCI** most *agency* (strategic actors freely maximise *within* the rules), **HI** in between (path dependence & power dominate, but actors act at **critical junctures**).



How to read it (the deck's opening framing). The **same outcome** (e.g. Brexit) can be explained by **structure** (the constraining context — institutions, rules, power, culture) or by **agency** (what actors chose to do). Institutionalism says it's *both*, with institutions as the structure that channels agency — and the **spectrum** at the bottom is the exam-useful part: **SI** leans most structural (culture makes the actors), **RCI** leans most agency (strategic actors within fixed rules), **HI** sits in the middle (path dependence + critical junctures). Locating a school on this line is how you answer "which weights structure vs agency?"

- **Why "New" institutionalism? — three waves of theory** (the deck's *original* → *counter* → *revised* arc):
 - ① **Original theory** — "old" institutionalism (early–mid 20th c.): the **descriptive** study of *formal* institutions — constitutions, legal codes, the formal machinery of government. Rich on paper rules, but static and atheoretical.
 - ② **Counter theory** — **behavioralism** (1960s–70s): reacted *against* the old school — politics should be explained by **individual behaviour, attitudes and informal processes**, studied scientifically. Institutions were downgraded to **epiphenomena** (just the *sum* of individual choices; the formal rules "don't really matter").
 - ③ **Revised theory** — **New Institutionalism** (1980s–90s): **brings institutions back in** — but *revised*: institutions matter again *because they actively shape and constrain behaviour and outcomes* (not just describe them). That "institutions back in, but now doing explanatory work" is what makes it **New**.
- **What New Institutionalism studies — institutions, via three guiding questions** (deck):
 - ① **What do institutions look like?** — e.g. **Danish labour-market rules** ("flexicurity"); **post-conflict peace-building** institutions (truth & reconciliation commissions in **Rwanda, South Africa**).
 - ② **What similarities & differences do they show across contexts?** — e.g. **neocorporatism** in **Sweden vs Germany**; **presidentialism** in the **US vs Brazil**.
 - ③ **Why do they differ across time & space?** — and here the **three schools** give competing answers (RCI vs HI vs SI). *Today's reading applies this*: why does **privatisation of education** take **different forms in three countries** (Busemeyer & Thelen)?

- **Why study institutions?** They have **profound political consequences** — e.g. electoral system → party system (majoritarian → two-party; PR → multiparty — Lectures 4–5); parental-benefit design → labour-market gender equality.
- **The definition of "institution" widens across the three schools** — this is the key organising idea:

School	What counts as an institution
RCI (narrowest)	"Rules of the game" — constitutions, laws, regulations, court decisions
HI (middle)	The above + procedures, routines, norms, conventions (how things are done; SOPs)
SI (broadest)	All the above + symbol systems, cognitive scripts, moral/discursive templates — <u>"frames of meaning"</u> (role of the state, national identity, patriarchy, institutional racism...)

Hall & Taylor (1996) — The Three New Institutionalisms

Chapter résumé

Hall & Taylor show that "the new institutionalism" is **not one theory but three** — **rational-choice (RCI)**, **historical (HI)**, and **sociological (SI)** institutionalism — which arose in the 1980s–90s (all reacting against 1960s–70s **behavioralism**) yet developed **independently**, "paint quite different pictures of the political world," and rarely cited each other. They compare the three on **two questions fundamental to any institutional analysis: (1) how institutions relate to behaviour, and (2) how institutions originate and change**. Their verdict: none is wrong — each captures a **partial truth** — so they call for **cross-fertilisation**.

★ **The heart of the reading:** three schools answer the same question — *how do institutions shape political behaviour and outcomes?* — very differently. **RCI:** institutions are rules that structure **strategic interaction** among fixed-preference utility-maximisers ("calculus"). **HI:** institutions distribute **power** unevenly and lock in **paths** over time (eclectic). **SI:** institutions are **cultural frames of meaning** that constitute actors' very identities and preferences ("cultural"). The exam task: fill in the comparison table and use it to build *three competing explanations* for one outcome.

The red thread. Everything reduces to **two cross-cutting approaches** (Hall & Taylor's own device): the **calculus approach** (actors strategically maximise; institutions give certainty about others' behaviour; persist as a **Nash equilibrium**) vs the **cultural approach** (actors interpret via worldviews; institutions provide moral/cognitive templates; persist because **taken-for-granted**). **RCI = pure calculus** • **SI = pure cultural** • **HI = both**. For any theory ask: *calculus or cultural — and how does that answer "how do actors behave / what do institutions do / why do they persist"?*

Key concepts / "modes" to use

- **The three schools: RCI • HI • SI** (+ the widening definition of "institution").
- **Calculus vs cultural approaches** — the master framework for *how institutions affect behaviour*.

- **RCI toolkit:** strategic interaction · collective-action dilemmas · gains from exchange · Nash equilibrium.
- **HI toolkit:** power asymmetries · path dependence · critical junctures · unintended consequences.
- **SI toolkit:** frames of meaning · logic of appropriateness · isomorphism · legitimacy.

Section-by-section main points

| The two archetypes — calculus vs cultural

Core: any institutionalism must answer three questions — *how do actors behave? what do institutions do? why do they persist?* — and there are two archetypal answer-sets.

	Calculus approach (→ RCI)	Cultural approach (→ SI)
How do actors behave?	Instrumental, strategic utility-maximisers ; preferences given exogenously	Behaviour bounded by a worldview ; satisficers ; choice depends on <i>interpretation</i>
What do institutions do?	Provide certainty about others (information, enforcement); shape expectations	Provide moral/cognitive templates ; shape identities & preferences themselves
Why do they persist?	They're a <u>Nash equilibrium</u> — deviating makes you worse off	Taken-for-granted ; one actor can't change a collective convention

HI is eclectic — it uses *both*.

| ★ The three institutionalisms compared (*the exam table — from the screenshot*)

Core: memorise this. To answer "why did outcome X happen?", read *across a row* for three competing explanations.

Dimension	Rational Choice (RCI)	Historical (HI)	Sociological (SI)
Definition of institutions	Rules/procedures that structure strategic interaction (narrow)	Formal/informal procedures, routines, norms, conventions embedded in the polity/economy (tied to organizations)	Symbol systems, cognitive scripts, moral templates — "frames of meaning" (dissolves the institution/culture line)
Example they study	US Congress (committees, rules of procedure)	Cross-national public policy (welfare states, labour, corporatism)	Organizational forms & their diffusion (why education ministries worldwide look alike)
Institutions ↔ behaviour	Calculus	Eclectic (both)	Cultural
How do actors behave?	Fixed exogenous preferences ; instrumental, strategic maximisers	Both strategic <i>and</i> worldview-shaped (strategies can ossify into worldviews)	Socially-constituted interpreters; " logic of appropriateness " — what's "rational" is itself socially constituted
What do institutions do?	Structure strategic interaction; provide info/enforcement → reduce uncertainty, enable gains from exchange ; solve collective-action problems	Structure conflict — privilege some interests, demobilise others; distribute power unevenly	Confer meaning & legitimacy ; constitute actors' identities & preferences
Why do they persist?	They're a Nash equilibrium (deviation costs you)	Path dependence — groups develop interests "costly to shift"	Taken-for-granted ; can't be changed by one individual
How/why do they change?	Deductive; voluntary agreement / competitive selection (<i>weak on change</i> — the "equilibrium paradox")	Critical junctures (crisis/war) → branching points ; otherwise path-dependent	Adopt new templates for legitimacy (not efficiency); borrowing/diffusion ; can even be <i>dysfunctional</i>
Particular focus	Strategic interaction; collective-action dilemmas; gains from exchange	Power asymmetries ; path dependence ; unintended consequences ; ideas	Legitimacy ; culture ; isomorphism
Key concepts	transaction costs, principal–agent, Nash equilibrium, gains from exchange	path dependence, critical junctures, unintended consequences , "mobilization of bias"	frames of meaning, cognitive scripts, logic of appropriateness , isomorphism
Hall & Taylor's critique	Thin/"simplistic" motivation ; exogenous preferences; functionalist origins	Vague on the precise causal mechanism ; too inductive	"Bloodless" ; "action without agents" ; misses power

Rational Choice Institutionalism (RCI) — the "calculus" school

Core: institutions are **rules that structure strategic interaction** among rational, fixed-preference utility-maximisers; they persist because they're an **equilibrium** and are created to **capture gains from cooperation**.

- Borrows the "new economics of organization" (transaction costs, property rights, principal-agent). Politics = a series of **collective-action dilemmas** (prisoner's dilemma, tragedy of the commons); institutions solve them by providing **information + enforcement**.
- **Exemplars:** US Congress studies — **Shepsle, Weingast**; **Ostrom** on common-pool resources; **North** on economic institutions.
- **Best at:** precise, generalisable theory; explaining **why institutions persist**. **Weak at:** origins/change — its explanations are **functionalist** (deduce origins from consequences — but you can't, because of unintended consequences), **intentionalist**, **voluntarist** (understates power); and the **equilibrium paradox** (if the status quo is already a Nash equilibrium, why would anyone agree to change it?).

Historical Institutionalism (HI) — power + path dependence

Core: institutions **distribute power unevenly** ("structure conflict to privilege some, demobilise others") and, once set, lock national development onto **paths** that are costly to reverse — change comes at **critical junctures**.

- Definition sits in the middle (procedures/routines/norms embedded in organizations); **eclectic** on behaviour (both calculus & cultural, integrating **ideas**). History = **long continuity punctuated by critical junctures** (triggered by crisis/war) that create **branching points**; between them, path dependence + unintended consequences dominate.
- **Exemplars:** **Immergut** (health-care reform), **Steinmo** (tax policy), **Hattam** (US labour), **Skocpol** (welfare states & state capacities); **Thelen** (how institutions evolve).
- **The most "commodious"** and realistic school, and the **pivot** between RCI and SI. **Weak at:** specifying the exact causal mechanism; too inductive to build systematic theory. (*This is the school Busemeyer & Thelen exemplify — see below.*)

Sociological Institutionalism (SI) — culture & legitimacy

Core: institutions are **cultural frames of meaning** (symbols, scripts, templates) that don't just constrain behaviour but **constitute actors' identities and preferences**; organizations adopt practices for **legitimacy**, not efficiency.

- Dissolves the **institution/culture** boundary (a "cognitive turn"). Actors follow a **"logic of appropriateness"** (what's socially appropriate), not pure calculation. Explains **isomorphism** — why organizations in a field converge on the same forms "regardless of local conditions," even when **dysfunctional**.
- **Exemplars:** **Meyer & Rowan** ("myth & ceremony"), **DiMaggio & Powell** (isomorphism / the "organizational field"), **March & Olsen** (logic of appropriateness), **Dobbin**, **Fligstein**, **Soysal**.
- **Best at:** meaning, legitimacy, identity, and the inefficiencies RCI can't explain (the "waiting at a red light with no one around" point). **Weak at:** power & agency — "curiously **bloodless**," can look like "action without agents."

Change vs continuity — each school's answer (AUW's deck; the Brexit test)

Core: take one outcome (e.g. Brexit) and give **three competing explanations** — one per school.



How to read it (the Brexit outcome the three schools explain). The 2016 referendum: **72.2%** turnout, **51.9% Leave vs 48.1% Remain** — razor-thin — with the district map showing a **geographic split** (Scotland, London & N. Ireland Remain-blue; most of England & Wales Leave-pink). This single result is the *explanandum*: **RCI** reads it as actors' cost-benefit calculus and interests, **HI** as path dependence hitting a critical juncture, **SI** as a clash of identities/paradigms — same fact, three lenses.

School	Explains CHANGE by...	Explains CONTINUITY by...
RCI	disrupted equilibrium; actors' interests (utility-max, cost-benefit); strategic action; few veto players (or in agreement)	policy equilibrium ; many veto players (or in disagreement)
HI	critical junctures ; <u>unintended consequences</u> ; powerful agenda-setters ; institutional inertia	<u>path dependence</u> ; policy lock-in ; institutional power vested in key actors
SI	societal shifts (materialism→post-materialism); a new economic paradigm (Keynesianism→neoliberalism); IR shift (multilateral→unilateral)	deep taken-for-granted structures; national identities ; nested power structures

Hall & Taylor's conclusion — cross-fertilise

Core: each school reveals a **genuine but partial** dimension of behaviour, so they should **borrow from each other** rather than stay in isolation.

- Who does what: **RCI** = precision & persistence (weak on motivation/change); **HI** = power & history (weak on mechanism); **SI** = meaning & legitimacy (weak on power/agency). HI is the **bridge** — its arguments translate into RCI terms yet open toward SI (actors pick institutions strategically, but "from a menu made historically available").
- Emerging syntheses they cite:** **Kreps** (corporate culture as an efficient supplement to monitoring); **Garrett & Weingast** (norms/ideas as "**focal points**" that select among multiple equilibria); **Scharpf** ("decision rules" [incentives] + "decision styles" [beliefs about appropriate behaviour]); **Bates &**

Weingast (strategic interaction as **signalling games** needing cultural context). (*Caveat: they don't claim a full synthesis is yet possible — "there is much to be said for tenacious debate."*)

Key terms

Term	Meaning
Institution vs organization	Rules/norms that constrain actors vs groups of actors
Calculus vs cultural approach	Strategic maximising vs interpretation-by-worldview
RCI / HI / SI	Rational-choice / historical / sociological institutionalism
Nash equilibrium	Why institutions persist for RCI (deviation costs you)
Collective-action dilemma	Individually rational, collectively bad (RCI's image of politics)
Path dependence	Past choices lock development onto costly-to-reverse paths (HI)
Critical juncture / branching point	Crisis moment when big institutional change sets a new path (HI)
Unintended consequences	Ubiquitous — why you "can't deduce origins from consequences"
Mobilization of bias	Institutions distribute power unevenly (HI)
Logic of appropriateness	Act on what's socially appropriate, not calculation (SI)
Isomorphism	Organizations in a field converge on the same form (SI)
Frames of meaning	Symbol systems/scripts that constitute action (SI's institutions)

Exam pointers

- Reproduce the **RCI/HI/SI comparison table** — the exam's whole point (Ayca's table).
- Nail **institution** ≠ **organization** and the **widening definition** (RCI rules → SI frames of meaning).
- Use the **calculus vs cultural** distinction to explain *how* each school links institutions to behaviour.
- Run the **change-vs-continuity table** on one outcome (Brexit): **three competing explanations** (RCI equilibrium/interests • HI critical juncture/path dependence • SI paradigm/identity shift).
- Know each school's **signature critique** (RCI thin motivation • HI vague mechanism • SI bloodless/no power).

Busemeyer & Thelen (2020) — Institutional Sources of Business Power (*an HI example*)

Chapter résumé

An exemplary **Historical-Institutionalist study**: where does **business power** come from? The standard split is **structural** power (business's privileged position as investor — the exit/investment

threat) vs **instrumental** power (lobbying, donations). Busemeyer & Thelen add a third, **institutional business power** — power that "results when state actors **delegate public functions to private business actors**" and, "over time, through **policy feedback and lock-in effects**," produces an **asymmetrical dependence of the state on business**. They prove it in **education/skill formation** (a "quintessentially public" area where you'd *least* expect business power) across **Germany, Sweden, and the USA**.

★ **The heart of the reading:** business power isn't a fixed feature of capitalism — it's **built by institutions over time**. Once the state hands parts of a public service to private actors, **policy feedback + lock-in** make the state **dependent** on them and the change **near-impossible to reverse**. This is *classic HI*: **power asymmetries compounding through path dependence**.

Section-by-section main points

The argument — a third kind of business power

Core: to structural + instrumental power, add **institutional business power** — endogenous to **past policy-design choices**, not a generic feature of capitalism.

- **Three types:** **structural** (investor's exit threat — Lindblom) · **instrumental** (lobbying/donations) · **institutional** (entrenched role in delivering a **public function**). They act as "**communicating vessels**."
- **Two conditions** set how strong institutional power is: **(1) the credibility of business's exit threat** and **(2) the depth of state dependence** (has the state lost the capacity to provide the service itself?). Both high → power strongest.
- Once entrenched, institutional power grants business insider "**quiet politics**" access (Culpepper) — so it needs far less *overt* lobbying. The three cases are deliberately "**most different**" (Esping-Andersen's three welfare worlds × Hall & Soskice's *varieties of capitalism*) to show a **common dynamic despite maximally different systems**.

Three mechanisms → three countries

Core: the *same* dynamic (state shares a public function → feedback entrenches business → lock-in) plays out three ways across maximally different systems.

Country	Mechanism	What happened
<u>Germany</u>	Delegation	state consciously shares regulatory space with employers (dual apprenticeship training)
<u>Sweden</u>	Deregulation	state retreats from provision (school vouchers / for-profit "free schools")
<u>USA</u>	Accretion	private actors <i>invite themselves in</i> (venture philanthropy, charter schools)

- **Germany — Delegation (dual vocational training)**. Firm-based apprenticeships rest on **employer voluntarism** (~500,000 youths/year, ≈ the number entering university). **Highest** institutional power: both state dependence *and* exit threat are high. Twice (**1970s; red-green 1998**) governments

floated a statist **training levy** + school-based alternative; both times employers threatened to cut training places and the government **backed down** — and by the 2000s **unions & Social Democrats had reversed** to defending firm-based training (preference **conversion via feedback**). → *Delegation + lock-in + preference change = HI.*

- **Sweden — Deregulation (school vouchers).** Early-1990s reforms broke a near-total **public monopoly**; public money now funds private "independent" schools. By 2014 **ten corporations held 30% of the market** (biggest: AcadeMedia, owned by VC firm EQT); ~85% of voucher schools are **for-profit** — a "welfare-industrial complex." The **2016 Reepalu** profit-cap proposal died after providers threatened to shut down; Reepalu himself: "*we'd be in an easier situation if this had been introduced twenty years ago*" (**lock-in spoken aloud**). → *Deregulation + self-reinforcing feedback (even unions flipped pro-privatisation).*
- **USA — Accretion (venture philanthropy & charters).** Wealthy donors (Gates, Broad, Walton) "invite themselves" into education, funding charter schools/CMOs. **High exit threat, lower state dependence** (private funds *supplement*). Charters ≈6% of US enrolment but **~95% in post-Katrina New Orleans**; Gates ranked the **most influential individual in US education policy** — **ahead of the Secretary of Education**. In the 2014 de Blasio vs **Eva Moskowitz** fight, Walton-funded groups bused parents to Albany and Gov. Cuomo vowed "*We will save charter schools!*" → *Accretion — instrumental power converting into entrenched institutional power.*

Why it's HI — and how RCI/SI would differ

- **HI hallmarks:** **power** runs through the whole study (asymmetric state↔business dependence tilting "over time"); **historical legacies** (each country a longitudinal narrative); **path dependence & lock-in** ("reclaiming lost territory becomes more difficult over time"); **policy feedback; critical junctures** (German 1982 government change; **Hurricane Katrina** enabling New Orleans's charterisation).
- **RCI would say:** business power = a credible **exit/holdup threat** in a principal–agent game; delegation persists because it's **efficient** (lowers state costs) — but static RCI misses the *temporal tilt* and the change in actors' preferences.
- **SI would say:** private provision spreads because it becomes **legitimate/taken-for-granted** (Germans see employer involvement as "an asset"; Swedes internalise "free choice"; Gates's role "taken for granted") — an NPM/"choice" **template diffusing** (isomorphism) — but SI under-weights the raw **power** the authors foreground.

Exam pointers

- Use this as your **worked HI example**: name the mechanism per country (**Delegation/Germany · Deregulation/Sweden · Accretion/US**) and show **power + path dependence + lock-in**.
 - Define **institutional business power** vs structural vs instrumental, and its **two conditions** (exit threat + state dependence).
 - Be ready to **re-explain the same outcome in RCI and SI terms** (Ayca's exercise).
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Informal institutions (*AUW coda*)

Core: informal institutions = the "informal rules of the game" — "*socially shared rules, usually unwritten, created, communicated and enforced outside officially sanctioned channels.*" They can matter as much as formal ones (esp. in weak states) — and are **not necessarily undemocratic**.

- **Examples:** *dedazo* ("big finger", Mexico — the outgoing PRI president secretly picks his successor) · *amakudari* ("descent from heaven", Japan — retired bureaucrats get corporate jobs) · **clientelism** (Peronist Argentina). *Not* undemocratic: the **folkways of the US Senate** (Matthews 1959 — apprenticeship, courtesy, reciprocity, specialisation); pre-Erdoğan Turkish university-rector elections.

★ Fun facts & memorable details

Sticky bits from Lecture 6 (institutions & institutionalisms).

Quotable

- The framing line: "*political science today is confronted with not one but three 'new institutionalisms.'*"
- **SI's best point** (why we're not just calculators): "*anyone who has waited at a traffic light when no one else was around*" has to admit institutions work non-instrumentally too.
- **RCI's key logical error** (Hall & Taylor): "*one cannot safely deduce origins from consequences*" — because unintended consequences are everywhere.
- SI critique in three words: "*action without agents.*"
- **Reepalu (Sweden):** "*We'd be in a somewhat easier situation if much of what we're proposing had been introduced some twenty years ago*" — path dependence, out loud.
- **Cuomo (US):** "*We will save charter schools!*"

Memorable

- The three schools "developed **quite independently of each other**," each "assiduously burnishing its own paradigm" — a paper about theories that ignored each other.
- **Germany:** ~500,000 start firm-based apprenticeships each year — about the same as start university.
- **New Orleans** after Katrina: ~95% of children in charter schools — the highest of any US city.
- **Bill Gates** was ranked the **single most influential individual in US education policy** — ahead of the **Secretary of Education** (who, at the time, was herself a venture philanthropist).
- **Institution ≠ organization:** the Social Democratic *Party* is the organization; the rules and unwritten norms governing it are the *institutions* — the distinction the whole lecture turns on.